

Amazon.com, Inc.

Symbol: **AMZN**

CFRA KEEPS BUY OPINION ON SHARES OF AMAZON.COM, INC.

Recent Price : **\$1750.08**

Recommendation:



By a split 5-to-4 majority decision, the U.S. Supreme Court rules that states can collect sales taxes from online retailers. After some related controversies over the past several years, the highly anticipated ruling is only mildly surprising to us, setting another precedent that effectively overturned the apex court's prior ruling in 1992 that barred states from collecting such taxes. On face value, the ruling might raise the specter of potential negative implications for AMZN, which recently accounted for about 44% of the U.S. e-commerce market and an even more dominant 70% of overall e-commerce growth. Still, we see a relatively limited exposure for AMZN, which already collects a sizable amount of sales taxes across many states where it qualifies as taxable due to its sufficiently large physical presence. Thus, AMZN is unlikely to cede a meaningful portion of its market share to traditional retailers as a result of the ruling, which could leave smaller online retailers more exposed.

Tuna N. Amobi, CFA, CPA

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The STARS ranking for this company was changed or reiterated by our analyst on the date and time noted above. The accompanying Stock Report will be updated shortly to reflect our current opinion on this company.

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